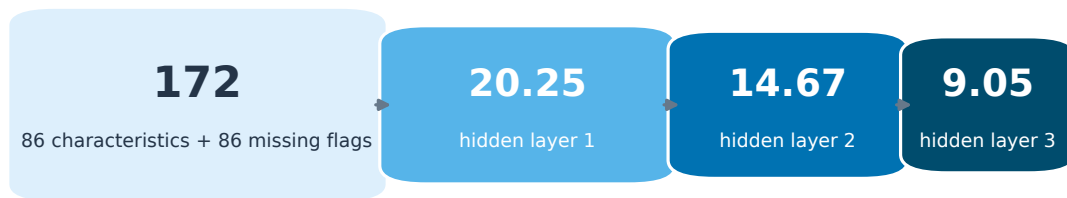


THE COMPRESSION ILLUSION

The network becomes compact. The economic law does not.

ARCHITECTURE INPUT → HIDDEN-STATE CONCENTRATION



REPRESENTATION COMPRESSION: SUPPORTED

THREE STRONGER CLAIMS

NOT SUPPORTED	NOT SUPPORTED	NOT SUPPORTED
IDENTIFICATION	STABILITY	ECONOMIC USE
32.6%	1 / 4	3.915%
exact K recovery feasible known-truth evaluation	locked criteria pass 2020-2025 frozen test	HJ-loss gain p = 0.149; all primary CE < 0

INFERENCE BREAK

A low-dimensional hidden state is a diagnostic representation—not evidence of a stable pricing law.